Many students move home after graduation, unable to afford to live on their own because of excessive debt obligations. Credit card debt and student loan debt can be daunting for a young college graduate to pay with a low starting salary. The addition of normal living expenses like rent, food, and utilities can make unrealistic the desire to live on one's own.

Reginald had become used to living alone while in college and having now to live under his parents' rules once again had been a very difficult transition. He was desperate to move to the Nation's Capitol. Although his budget told him it wasn't possible, Reginald was determined to figure out a way. He started by examining his budget in detail, trying to reduce any expenses that he could. If he could change his bottom line from being negative to positive, he would move.

Let's examine the expense categories that Reginald was able to reduce:

- Rent—by moving into a group house with three other roommates and by settling for a neighborhood that was not as convenient or trendy.
- Car payment—by selling his car he eliminated his car payment. Besides, there was nowhere to park it in the city and the subway (metro) system was very accesible.
- Insurance—by selling his car he also eliminated his car insurance payment.
- Credit card debts—by consolidating his four credit cards into one credit card with a lower interest rate, he lowered his monthly payment (he wisely remembered to cut up the newly paid-off cards and close their accounts).
- Student loans—by consolidating his Federal student loans through Sallie Mae (Student Loan Marketing Association), he was able to reduce his monthly payments. For his private student loans, he changed his